ACCOUNTING - FIXED ASSETS
AUDIT PROGRAM #10-40-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
February 2025	All	All	Adriana Lippi	Update the auditable entity name, update GFA by WWFA.
April 2023	All	All	CA&AS	Split global asset management into separate audit program #10-40-00 – (from 52-50-00) process now under Accounting and renamed Global Fixed Assets
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

Accounting – Fixed Assets process includes the recording (for accounting purposes) of the acquisition capitalization, depreciation, and disposal of capital assets on the balance sheet.

The process starts with financial entry for capital assets being received on the ledger; entry is reconciled and capitalized when the asset is ready for its intended use.

The Data Integrity process is employed as an additional, secondary control to the asset capitalization process with the purpose to highlight any potential out of line situations against standard accounting guidance set up in system.

Validation of the existence of capitalized assets is accomplished through statistical sampling.

The process ends with the disposal of the asset (via retirement, sale, or scrapping) with the appropriate accounting entries being made to remove the asset from the financial records. The process can also end when a decision is made to no longer track the asset.

Reconciliation is owned and performed within the accounting process. After reconciliation, WWFAA (Worldwide Fixed Asset Accounting) executes the update to the sub ledger system. This becomes an input to the accounting reconciliation process.

PIT (Physical inventory taking) History:

- As a US company IBM follows US GAAP as general rule. PIT (Physical inventory taking) is not a requirement in US GAAP. PIT was a practice instituted under IBM Worldwide Property Control Policy and the Fixed Asset Accounting team prior to the year 2000 and has been used as a centralized method to validate inventory balance sheet integrity. RSS (Random Statistical Sample) is considered efficient for this purpose. If the results of the sampling show concern or there are concerns from other factors additional % sampling may be used.

- The design of the PIT Process is based on employee validation. Management and ownership of physical assets belong with asset owner and manager, and any additional country requirements for business or other reasons are managed by the local country, who may engage with WWFA, if WWFA PIT method is suitable for their requirements, and WWFA are in a position to support.

- Employee confirmation of asset existence is considered as sufficient validation; this provides a reasonable level of assurance and leverages the commitment all employees attest to via the IBM Business Conduct Guidelines certification.

Activities performed by other areas:
Calculation of fixed asset depreciation based on tax law and filing tax related to fixed assets is performed by Global Tax team

Capital release, WIP project budget set up/controls and capital budget management is owned by Worldwide Capital Team in Finance.

PLANNING: Audit Program Risk Alignment

Accounting - Fixed Assets

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Asset Capitalization	High	Capitalizations	AC001.P
Work In Process (WIP) Capitalization	Medium	Work-in-process	WI001.P
Data Integrity	Low	Data Integrity	DI001.P
Physical Inventory Taking (PIT)	Low	Physical Inventory Taking (PIT)	PI001.P
Asset Retirement	Low	Retirements	AR001.P
Separation of Duties	Low	Separation of Duties	SD001.P

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The Data Analysis engagement procedures in the Audit Manual (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	**Analysis to be Performed**	**Possible Anomalies**	**Concern**
Capitalization Record	Data entry accuracy Data entry timeliness Valid supporting documentation and approvals	Data element errors	Delays in processing, financial misstatement
Retirement Record	Data entry accuracy Data entry timeliness Valid supporting documentation and approvals	Data element errors	Delays in processing, financial misstatement

PLANNING: Reference Material

AI PPE 001 (previous AI RE11 002) IBM WORLDWIDE CAPITAL ASSETS
https://ibm.ent.box.com/s/iyzoq3uor62fgrna7brbn4www7hbu26z

AP PPE (previously AP 28) Accounting for IBM Capital Assets:
https://ibm.ent.box.com/s/yogj3mhg7qkqn89lnjxccdt6w2b9dwzn

Worldwide Property Control Policy
https://w3.ibm.com/w3publisher/global-fixed-asset-management-wiki/ww-property-control-policy

Global Fixed Assets Management Publisher
https://w3.ibm.com/w3publisher/global-fixed-asset-management-wiki

Accounting Publisher
https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Capitalizations

Objective:
To review that controls were effective to ensure assets were timely capitalized, in accordance with accounting instructions, and classified correctly.

Risk/Exposure:
Delayed or inaccurate processing/classification of IBM capital assets could result in fixed asset depreciation charges being inaccurately recorded on the financial ledger records/balance sheet and potentially impair asset owner asset tracking capability for inventoriable assets.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 1. Capitalizations
Primary Test: Capitalization Calculations and Classification (AC001.P)

Objective:
To evaluate controls when assets were capitalized. Controls should ensure assets were capitalized timely, correctly classified, appropriate supporting documentation exists for recent capitalizations, and assigned owner (department and/or employee) if asset is unit capped and deemed to be inventoriable.

Approach:
Select a sample of assets and test for the following attributes:

- Asset was capitalized timely
- Correct amount was capitalized
- Correct capitalization start dates were used
- Classified correctly (asset class, asset life)
- Met the criteria for capitalization versus expense
- Supported by appropriate documentation
- Assigned to owner (department and/or employee)
- Department charged was accurately applied

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Work-in-process

Objective:
To review that fixed asset work-in-progress charges were processed timely and accurately to the appropriate asset or expense accounts in accordance with accounting instructions.

Risk/Exposure:
Delayed or inaccurate processing/classification of IBM capital work in progress assets could result in fixed asset depreciation charges being inaccurately recorded on the financial ledger records/balance sheet.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 2. Work-in-process
Primary Test: Work-in-process (WI001.P)

Objective:
Evaluate controls for assets that are in progress to be capitalized. Controls should ensure work-in-process assets were aged and capitalized or expensed in accordance with corporate requirements.

Approach:
- Select a sample of assets in work-in-progress and test the integrity of the capitalization record (refer to test approach in 1. Capitalizations)

- Sample Projects that reach Estimated Completion Date to determine accurate capitalization or extension of ECD.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Data Integrity

Objective:
Evaluate that identified financial data integrity transactions were reviewed with appropriate action taken and according to the process metrics.

Risk/Exposure:
Delayed or inaccurate processing of DIs could result in fixed asset depreciation charges being inaccurately recorded on the financial ledger records/balance sheet and potentially impair asset owner asset tracking capability for inventoriable assets.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 3. Data Integrity
Primary Test: Data Integrity (DI001.P)

Objective:
To determine if identified financial data integrity items are addressed timely and processed accurately with appropriate management oversight.

Approach:
Review the listing of assets identified on the Financial Data Integrity report. Select a sample of assets and test for the following attributes:

- Exclusion supported by appropriate documentation
- Exclusion supported by defined approver
- Validate actions taken to update data integrity items were within established guidelines

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Physical Inventory Taking (PIT)

Objective:
To validate PITs are administered as per process schedules and methods, with results reported to country CFOs.

Risk/Exposure:
Inaccurate asset record verification updates lead to inaccuracy of IBM sub-ledger records and potential financial impact.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 4. Physical Inventory Taking (PIT)
Primary Test: Worldwide Property Control (PI001.P)

Objective:
Review Final PIT results to determine reported to country CFO and required actions from final PIT verification results were processed timely and accurately.

PIT is administered to support the financial integrity of the IBM Balance Sheet related to fixed assets.

Approach:
Inventoriable physical inventory asset validation is initiated by WW Fixed Assets Accounting using either of the two methods: Random Statistical Sampling (RSS) or 100% Validation

- Review PIT schedule to ensure all required countries are included in the PIT
- Test to validate WWFA approach is consistent with the two methods outlined in the Worldwide Property Control Policy
- Validate PIT results are reported to country teams
- Validate actions taken to remove not found assets from sub ledger accurately and within established guidelines

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Retirements

Objective:
Evaluate that asset retirements were processed timely and accurately in the sub ledger and according to the process metrics.

Risk/Exposure:
Inaccurate or delayed processing of asset retirements could result in potential financial impacts and/or inaccurately recorded retirement.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 5. Retirements
Primary Test: Approvals / Recording (AR001.P)

Objective:
Evaluate that asset retirements were processed timely and accurately. Controls should ensure that dispositions were consistent with asset owner request and documentation provided.

Approach:
Review the listing of all assets written-off during the audit period (sorted by reason code). Select a sample of assets written-off as scrapped, sold or unlocated and test for the following attributes:

- Assets removed are consistent with supporting documentation and established process
- Removal was recorded properly in the sub-ledger
- Removal was performed timely

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Separation of Duties

Objective:
Responsibilities are segregated and system access capabilities restricted in a way which will prevent a person from circumventing established controls.

Risk/Exposure:
Inadequate separation of duties and/or failure to eliminate or mitigate risks associated with separation of duties conflicts could allow personnel to misuse or divert company assets or perpetrate fraud without deterrence or timely detection.

CONTROL ASSESSMENT QUESTIONS
Key Control Question: 6. Separation of Duties
Primary Test: Separation of Duties (SD001.P)

Objective:
To ensure proper separation of duties exists so that no individual can control activities within a process in order to misuse or divert IBM assets without detection. Essentially, one individual should not be permitted to perform activities which combine custody, transacting and recording of IBM assets.

Approach:
Review the responsibilities assigned in the area of fixed asset for possible separation of duties exposures. This should include accesses within the fixed asset system, as well as between the fixed asset system and other applications. Include in the review any update authority to systems, system tables or data. Any individual with capabilities which would allow them to circumvent preventive and detective controls in the processes should be identified and included in test samples.